

# ISM® REPORT ON BUSINESS® MANUFACTURING

SEPTEMBER 2019

Analysis by **Timothy R. Fiore, CPSM, C.P.M.**, Chair of the Institute for Supply Management® Manufacturing Business Survey Committee

**E**conomic activity in the manufacturing sector contracted in September, and the overall economy grew for the 125th consecutive month, say the nation's supply executives in the latest Manufacturing ISM® *Report On Business*®.

The September PMI® registered 47.8 percent. The New Orders Index registered 47.3 percent, an increase of 0.1 percentage point from the August reading of 47.2 percent.

The Production Index registered 47.3 percent, a 2.2-percentage point decrease compared to the August reading of 49.5 percent. The Employment Index registered 46.3 percent, a decrease of 1.1 percentage points from the August reading of 47.4

## PMI® @ 47.8%

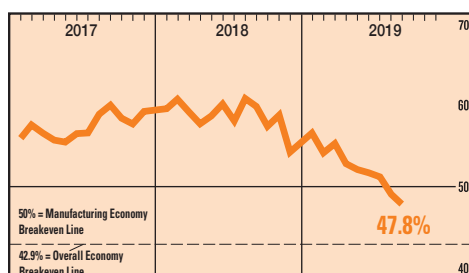
percent. The Supplier Deliveries Index registered 51.1 percent, a 0.3-percentage point decrease from the August reading of 51.4 percent. The Inventories Index registered 46.9 percent, a decrease of 3 percentage points from the August reading of 49.9 percent. The Prices Index registered 49.7 percent, a 3.7-percentage point increase from the August reading of 46 percent. The New Export Orders Index registered 41 percent, a 2.3-percentage point decrease from the August reading of 43.3 percent. Of the 18 manufacturing industries, three reported growth in September: Miscellaneous Manufacturing†; Food, Beverage & Tobacco Products; and Chemical Products.

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).

### MANUFACTURING AT A GLANCE

| Index                       | Sep Index | Aug Index | % Point Change | Direction          | Rate of Change | Trend* (months) |
|-----------------------------|-----------|-----------|----------------|--------------------|----------------|-----------------|
| PMI®                        | 47.8      | 49.1      | -1.3           | Contracting        | Faster         | 2               |
| New Orders                  | 47.3      | 47.2      | +0.1           | Contracting        | Slower         | 2               |
| Production                  | 47.3      | 49.5      | -2.2           | Contracting        | Faster         | 2               |
| Employment                  | 46.3      | 47.4      | -1.1           | Contracting        | Faster         | 2               |
| Supplier Deliveries         | 51.1      | 51.4      | -0.3           | Slowing            | Slower         | 43              |
| Inventories                 | 46.9      | 49.9      | -3.0           | Contracting        | Faster         | 4               |
| Customers' Inventories      | 45.5      | 44.9      | +0.6           | Too Low            | Slower         | 36              |
| Prices                      | 49.7      | 46.0      | +3.7           | Decreasing         | Slower         | 4               |
| Backlog of Orders           | 45.1      | 46.3      | -1.2           | Contracting        | Faster         | 5               |
| New Export Orders           | 41.0      | 43.3      | -2.3           | Contracting        | Faster         | 3               |
| Imports                     | 48.1      | 46.0      | +2.1           | Contracting        | Slower         | 3               |
| <b>OVERALL ECONOMY</b>      |           |           |                | <b>Growing</b>     | <b>Slower</b>  | <b>125</b>      |
| <b>Manufacturing Sector</b> |           |           |                | <b>Contracting</b> | <b>Faster</b>  | <b>2</b>        |

\*Number of months moving in current direction. Manufacturing ISM® *Report On Business*® data is seasonally adjusted for the New Orders, Production, Employment and Supplier Deliveries Indexes.



### PMI®

Manufacturing contracted in September, as the PMI® registered 47.8 percent, a decrease of 1.3 percentage points from the August reading of 49.1 percent. This is the lowest reading since June 2009, the last month of the Great Recession, when the index registered 46.3 percent. The PMI® contracted for the second straight month. The contraction continues six straight months of softening in manufacturing. Only one of the PMI® subindexes (Supplier Deliveries) registered at a level associated with expansion.

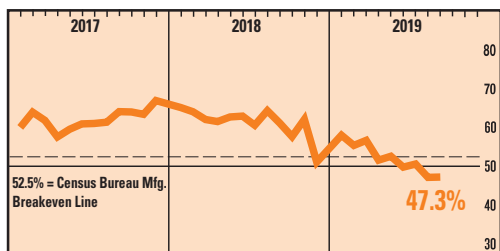
### COMMODITIES REPORTED

**Commodities Up in Price:** Natural Gas; and Precious Metals.

**Commodities Down in Price:** Aluminum (6); Base Oil; Corrugated Boxes (4); High-Density Polyethylene; Nylon; Pulp (2); Scrap; Steel (3); Steel – Hot Rolled (2); and Steel Products (9).

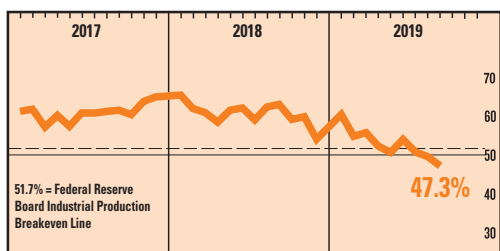
**Commodities in Short Supply:** Castings; Electronic Components (2); and Helium (3).

Note: The number of consecutive months the commodity is listed is indicated after each item. \*Reported as both up and down in price.



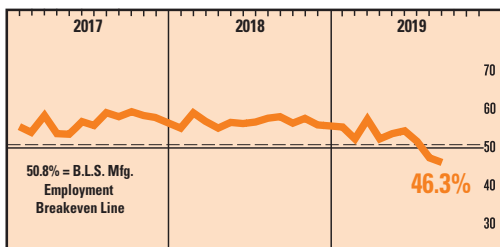
## New Orders

ISM's New Orders Index registered 47.3 percent. Of 18 manufacturing industries, three reported growth in new orders in September: Miscellaneous Manufacturing<sup>‡</sup>; Food, Beverage & Tobacco Products; and Chemical Products.



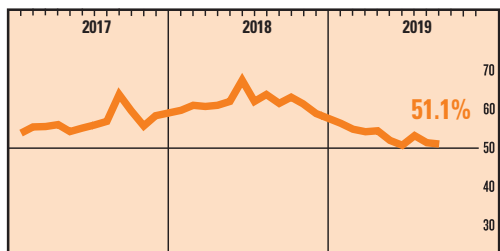
## Production

ISM's Production Index registered 47.3 percent. The three industries reporting growth in production during the month of September are: Chemical Products; Computer & Electronic Products; and Miscellaneous Manufacturing<sup>‡</sup>.



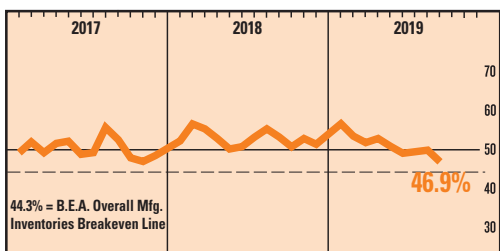
## Employment

ISM's Employment Index registered 46.3 percent. Of 18 manufacturing industries, four reported employment growth in September: Miscellaneous Manufacturing<sup>‡</sup>; Textile Mills; Food, Beverage & Tobacco Products; and Chemical Products.



## Supplier Deliveries

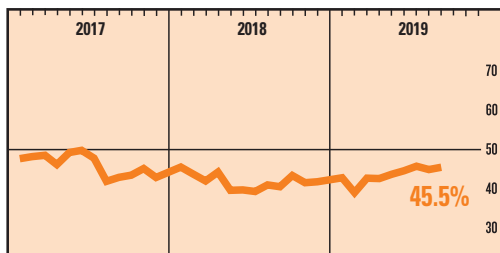
The delivery performance of suppliers to manufacturing organizations slowed. The nine industries reporting slower supplier deliveries in September — listed in order — are: Textile Mills; Food, Beverage & Tobacco Products; Miscellaneous Manufacturing<sup>‡</sup>; Primary Metals; Paper Products; Computer & Electronic Products; Plastics & Rubber Products; Machinery; and Chemical Products.



## Inventories

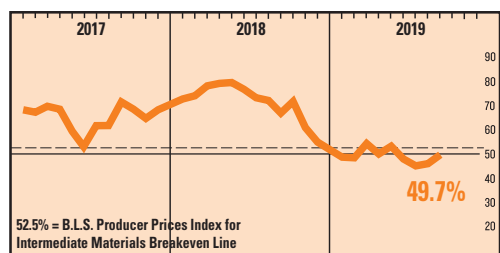
The Inventories Index registered 46.9 percent. The four industries reporting higher inventories in September are: Nonmetallic Mineral Products; Wood Products; Primary Metals; and Chemical Products.

<sup>‡</sup>Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



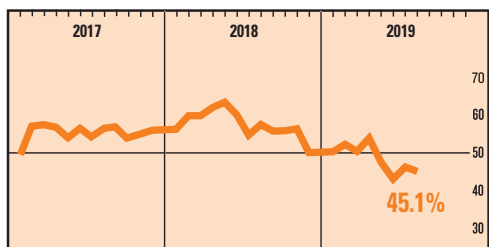
## Customers' Inventories

ISM's Customers' Inventories Index registered 45.5 percent. The five industries reporting customers' inventories as too high during the month of September are: Nonmetallic Mineral Products; Textile Mills; Miscellaneous Manufacturing<sup>‡</sup>; Electrical Equipment, Appliances & Components; and Fabricated Metal Products.



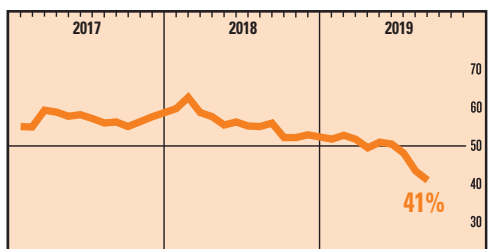
## Prices

The ISM's Prices Index registered 49.7 percent. Five of the 18 industries reported paying increased prices for raw materials in September: Petroleum & Coal Products; Textile Mills; Miscellaneous Manufacturing<sup>‡</sup>; Food, Beverage & Tobacco Products; and Computer & Electronic Products.



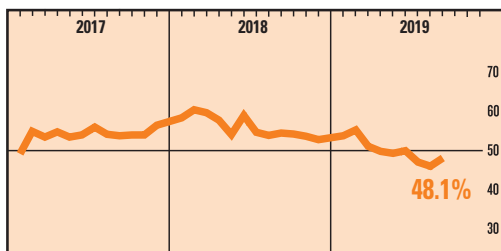
## Backlog of Orders

ISM's Backlog of Orders Index registered 45.1 percent. None of the 18 industries reported growth in order backlogs in September. The 11 industries reporting a decrease in order backlogs during September — listed in order — are: Apparel, Leather & Allied Products; Textile Mills; Electrical Equipment, Appliances & Components; Wood Products; Furniture & Related Products; Transportation Equipment; Computer & Electronic Products; Primary Metals; Chemical Products; Machinery; and Fabricated Metal Products.



## New Export Orders

ISM's New Export Orders Index registered 41 percent. The two industries reporting growth in new export orders in September are: Food, Beverage & Tobacco Products; and Miscellaneous Manufacturing<sup>‡</sup>.



## Imports

ISM's Imports Index registered 48.1 percent. The two industries reporting growth in imports during the month of September are: Petroleum & Coal Products; and Nonmetallic Mineral Products.

<sup>‡</sup>Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).